



# Cambridge International AS & A Level

## ECONOMICS

9708/31

Paper 3 A Level Multiple Choice

October/November 2023

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)

## INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

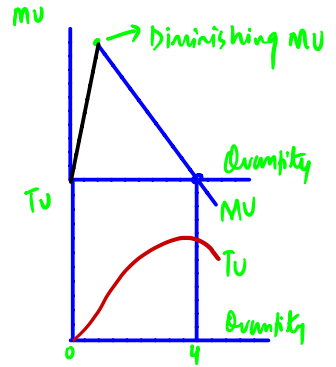
## INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

- 1 Economists normally assume that the marginal utility from consuming additional goods is positive and diminishing.

What is the effect on total satisfaction of consuming extra units of the good?



**A** Total satisfaction falls at a decreasing rate.

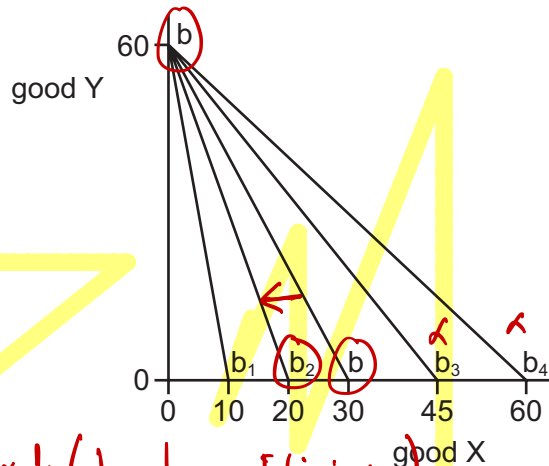
**B** Total satisfaction falls at an increasing rate.

**C** Total satisfaction rises at a decreasing rate.

**D** Total satisfaction rises at an increasing rate.

Law of diminishing MU!  
(connectivity diagram)  
(1st lecture)

- 2 A budget line (b-b) shows the combinations of two goods, X and Y, that a consumer can obtain within a fixed income of \$60 per week, when the price of Y = \$1 and X = \$2.



Income \$60

$P_x = \$3$

Quantity = 20

$P_x \uparrow \Rightarrow Q_x \downarrow$  ( $b_3, b_4$  - eliminates)

If the price of X rises to \$3, what will be the new budget line?

**A** b-b<sub>1</sub>

**B** b-b<sub>2</sub>

**C** b-b<sub>3</sub>

**D** b-b<sub>4</sub>

$\hookrightarrow P_x = \$6$

- 3 Which market structures are contestable? (potential threat of competition)

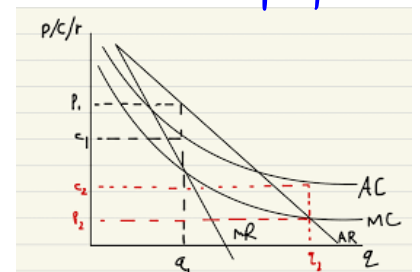
|          | perfect competition | monopolistic competition | pure monopoly |
|----------|---------------------|--------------------------|---------------|
| <b>A</b> | no                  | no                       | yes           |
| <b>B</b> | no                  | yes                      | yes           |
| <b>C</b> | yes                 | no                       | no            |
| <b>D</b> | yes                 | yes                      | no            |

No Barriers

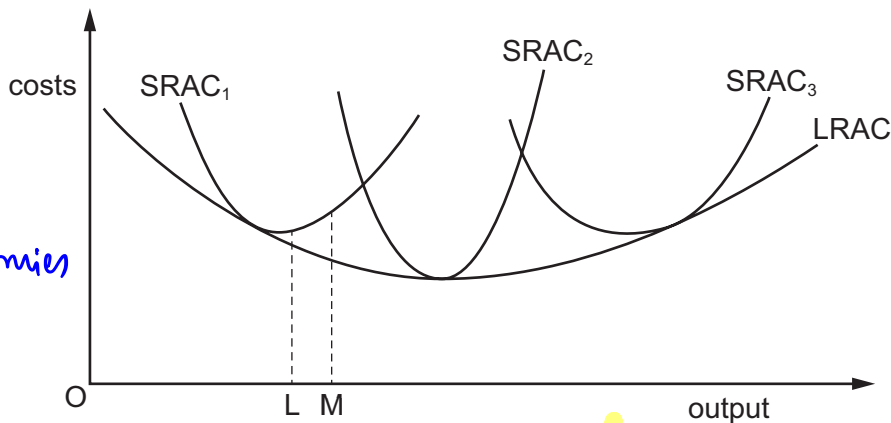
No/Less Barrier

Strong Barrier

Natural monopoly:



- 4 The diagram shows a long-run average cost curve (LRAC), and three short-run average cost curves (SRAC<sub>1</sub>, SRAC<sub>2</sub> and SRAC<sub>3</sub>) for an individual firm. Each short-run average cost curve represents a fixed factor of production.



Decreasing returns to scale, also known as diseconomies of scale.

Between levels of output OL and OM, which statement is not correct?

- A Average fixed costs are falling.  $AFC = FC/Q$ ,  $Q \uparrow$   $AFC \downarrow$ , correct
- B Economies of scale are being experienced. Falling part of LRAC, yes EOS, correct
- C The law of diminishing returns is operative. SRAC, rising part,  $MP_L \downarrow$ , correct
- D There are decreasing returns to scale. No, true only if operating on the rising part of LRAC.

- 5 Which combination of reactions by rivals results in a kinked demand curve for an oligopolist when a price is changed?

- A copying both a price rise and a price fall, No reaction to rise in price, Highly elastic
- B copying a price rise and ignoring a price fall, Same as option A.
- C ignoring a price rise and copying a price fall correct, No reaction to price  $\uparrow$  (Highly elastic)  
Reaction to fall in price (industry) (Highly inelastic)
- D ignoring both a price rise and a price fall No.

- 6 What is a key condition for effective price discrimination?

- A The product cannot be resold to another consumer. No resale
- B The product must be price inelastic.
- C The profits from one market can be used to subsidise another market.
- D There are low barriers to entry into the market.

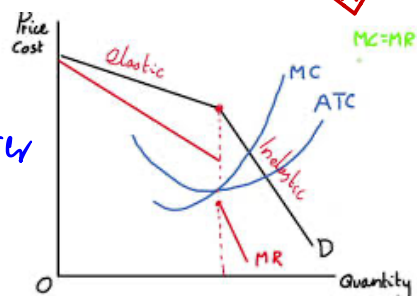
more effective with high barriers.

No relation to price discrimination

Not necessarily, it varies according to PED, not only with inelastic.

Revise the definition.

In situation of low barriers, price discrimination will be ineffective, as firms can easily enter



[Turn over]

Charging different prices to different customers for the same product, reasons not associated with cost, it depends on PED.

- 7 Which combination of cost conditions is most likely to act as a barrier to entry to a new firm wanting to join an industry?

|                                       | <sup>High</sup><br>fixed costs as a proportion of total costs | <sup>Higher output</sup><br>minimum efficient scale of firms in the industry | <sup>High</sup><br>level of sunk costs |
|---------------------------------------|---------------------------------------------------------------|------------------------------------------------------------------------------|----------------------------------------|
| <input checked="" type="checkbox"/> A | high ✓                                                        | high output ✓                                                                | high ✓                                 |
| <input type="checkbox"/> B            | high ✓                                                        | low output                                                                   | high ✓                                 |
| <input type="checkbox"/> C            | low                                                           | high output ✓                                                                | low                                    |
| <input type="checkbox"/> D            | low                                                           | low output                                                                   | low                                    |

New firms must heavily invest in assets, equipment, infrastructure, making it difficult to enter:- **Fixed cost**.

Optimal production scale is large, LRAC: **MES**

Investments are irreversible and assets can't be easily sold or transferred: **Sunk costs**

LRAC shift down

Easier for small size firms to achieve.

- 8 How is dynamic efficiency represented on a diagram?

A a downward move to the minimum point of a long-run average cost curve <sup>Productive efficiency</sup> Internal EOS

☒ B a downward shift in the long-run average cost curve <sup>Correct</sup>

C a move from a point inside a production possibility curve to a point on it <sup>Pareto efficiency</sup>

D a reduction in marginal revenue so that it equals long-run marginal cost <sup>MR=MR, profit max level of output.</sup>

- 9 A city council is considering building a passenger terminal at its port so that the city can benefit from large cruise ships that could then dock there. It undertakes a cost-benefit analysis.

What would be included as an external cost in the city council's cost-benefit analysis?

A the cost of a ticket for a passenger to travel on a cruise ship

B the cost of fuel to operate the cruise ships

C the costs paid by cruise ships when they dock at the port

☒ D the cost to a fishing fleet of relocating to another port

Private cost, cost borne by consumers and producer, when they consume or produce goods and services.

no appropriate compensation is paid.

EC: cost to the third party for which

- 10 Some multinational oil companies extracting oil in developing countries are now required to repair the damage they do to the environment. → Damage: External cost

What best describes the total costs incurred by the oil companies in such circumstances?

A external costs <sup>only damage to the environment</sup>

☒ B private costs plus external costs = Total cost

C social costs plus external costs

D social costs plus private costs

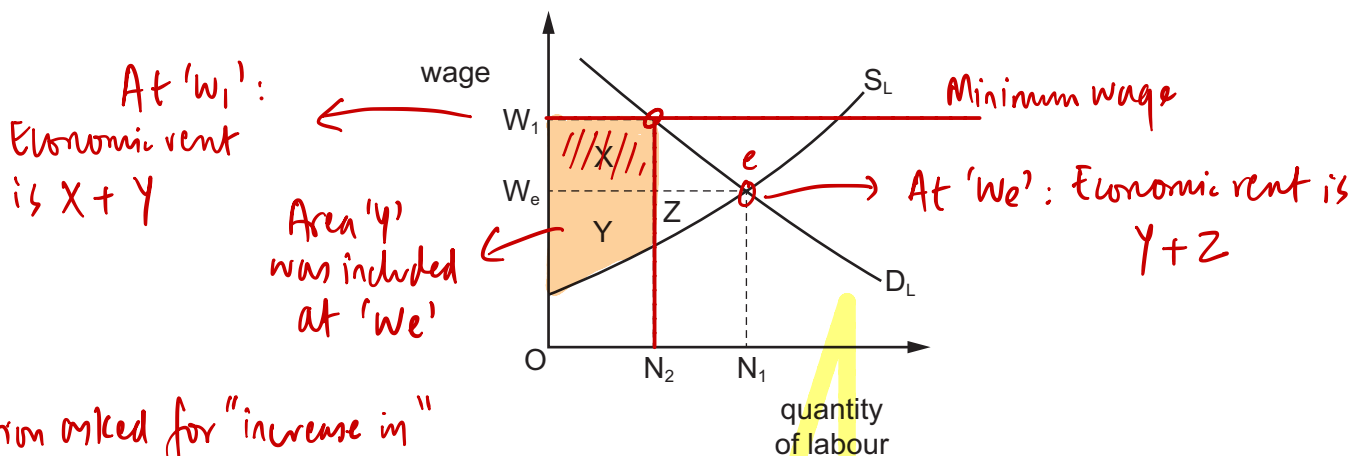
] Not possible, see the formula below.

$$SC = PC + EC$$

11 Which statement is not an example of government failure?

- A government intervention leading to a less efficient allocation of resources *failure*
- B government intervention leading to a net loss of economic welfare *failure*
- C government intervention leading to an increase in consumer surplus
- D government intervention leading to social costs exceeding social benefits *failure, existence of external cost.*

12 The diagram shows the demand for and supply of labour.



Question asked for "increase in"

The government announces a minimum wage of  $W_1$ .

Which area represents the increase in the economic rent of workers who will continue to be employed at the minimum wage?

- A X
- B Y
- C X + Y
- D X + Y + Z

*→ Increase in Economic rent* *→ Total economic rent at  $W_1$*

13 A firm is faced with a shortage of labour. It decides to introduce its own training scheme for school leavers.

Which effect is this most likely to have on the firm?

- A a decrease in the number of workers it employs *Increase, already facing shortage*
- B a decrease in the productivity of its workforce *Increase, since training is being provided*
- C an increase in the geographical mobility of its labour *Training affects occupational mobility*
- D a shift of the supply curve for its labour to the right *Training, investment in human capital, Supply of skilled labour increases.*

14 What is likely to result if a government introduces a new regressive tax?

- A Aggregate demand will increase. *decrease, as price ↑, real income ↓, C ↓, AD ↓*
- B Employment opportunities will increase. *continue with option A, AD ↓, employment ↓*
- C Income equality will improve. *worsen, as it puts burden on poor*
- D Tax revenues will increase. *Indirect tax (goods and services) Indirect tax is paid by everyone, a greater contributor to tax revenue than direct tax.*

Min wage, above equilibrium, no link to skill training, no link to Budget deficit.

Budget deficit is government spending exceeds tax revenue

- 15 Which government policy to counter the effects of income inequality is correctly matched with one of its advantages and one of its disadvantages?

|   | policy                       | advantage of policy       | disadvantage of policy    |
|---|------------------------------|---------------------------|---------------------------|
| A | food subsidies for the poor  | targets those in need     | high administrative costs |
| B | higher national minimum wage | encourages skill training | higher budget deficit     |
| C | provision of free child care | increases employability   | disincentive to work      |
| D | universal monetary benefits  | saves on bureaucracy      | reduced labour mobility   |

directly affecting poor individuals

It will increase incentive to work as child care is free, they can manage work

- 16 Under which circumstances will a subsidy from the government be most beneficial if there are externalities from producing good X?

|   | externality caused by good X | price elasticity of demand of good X |
|---|------------------------------|--------------------------------------|
| A | negative                     | <1                                   |
| B | negative                     | >1                                   |
| C | positive                     | <1                                   |
| D | positive                     | >1                                   |

greater than 1, Elastic.  
Subsidy, price ↓  
QD ↑

Implementing and managing food subsidies

E.g. Subsidy to merit goods

No sense if you selected A or B, why giving subsidy to a good which creates -ve externality.

- 17 What might decrease if a closed economy with a government sector decides to allow international trade?

- A components of aggregate expenditure, it will increase as X and M will be included  
B number of injections into the circular flow of income, will increase, 'X' included.  
C number of leakages from the circular flow of income, will increase, 'M' included  
D value of the economy's multiplier correct, as 'M' included.

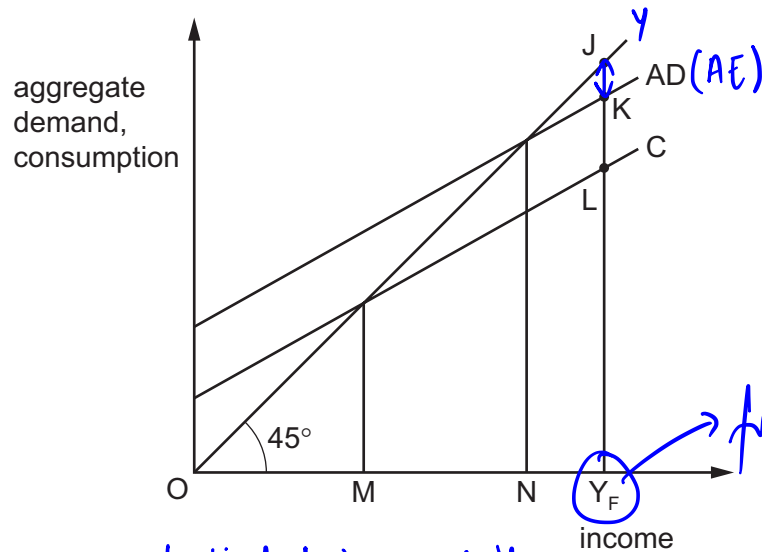
3 sector multiplier =  $\frac{1}{mps + mpt}$

4 sector multiplier =  $\frac{1}{mps + mpt + mpim}$

withdrawal added, reduces multiplier.

Doesn't link to labour mobility, yes it saves bureaucracy because of its simple criteria.

**18** The diagram shows a closed economy in which the full employment level of income is  $Y_F$ .



• full employment

vertical distance at  $4f$   
the deflationary gap?

Which distance measures the deflationary gap?

- A** JK      **B** JL      **C** NY<sub>F</sub>      **D** MY<sub>F</sub>

Price on pollution

companies buy and sell permits

↳ negative output gap

19 Which policy to counter climate change is considered to be regulatory rather than market based?

- A** the introduction of carbon taxes on pollution
- B** the operation of tradable pollution permits
- C** the provision of government subsidies
- D** the setting of industrial emission standards

market  
based

↳ Law | rule | limit | bound

→ influence demand and supply.

de-regulation: More entry of firms, more extraction, unsustainable

**20** Which cause of economic growth is most likely to ensure that the growth is sustainable?

- A deregulation of industrial production that uses mineral resources and fossil fuel
- B increased government spending on environmental education, financed through taxes on harmful goods *sustainable*
- C increased trade barriers on imports to protect domestic jobs and incomes *Actual growth*
- D reduced planning regulations to encourage construction in areas of natural beauty

## Sustainable

## Achral growth

↳ Construction ↑, external cost ↑, unsustainable

21 In all major towns in a country, a government adopts a policy of opening centres where job vacancies are advertised.

→ provision of information, reduces frictional unemployment

Which type of unemployment is the government aiming to reduce with this policy?

- A cyclical | Demand deficient, due to fall in AD
- ☒ B frictional | Search / voluntary.
- C regional, related to structural, fall in demand of a particular industry
- D seasonal, particular time of a year.

Change in investment  
Change in income

Invest more in capital goods when national income is growing.

8  
changes in Income  $\uparrow \rightarrow$  Investment  $\uparrow$

22 What is the basic assumption underlying the accelerator theory?

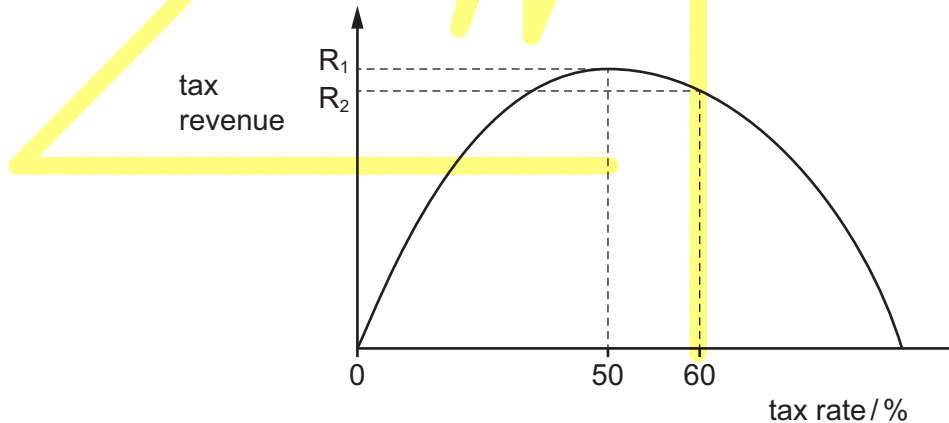
- A Investment depends on the level of business confidence. *Economic situation*
- B Investment depends on the level of savings. *Circular flow of income, Saving = Investment*
- ☒ C Investment depends on the rate of change in national income. *Remember the Table, Multiplier leads to acceleration*
- D Investment depends on the rate of change of interest rates. *Shows negative relationship,  $MEC/MEI$*

23 What shows the correct outcome for the policy option?

|                                       | policy option                                                                                                                     | outcome                                                                           |
|---------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| <input checked="" type="checkbox"/> A | depreciation of the exchange rate                                                                                                 | encourages more exports, which also means greater employment                      |
| B                                     | <i><math>L \uparrow</math>, <math>S</math> same <math>\uparrow</math>, <math>spend \downarrow</math></i><br>higher interest rates | attracts hot money inflows, and is an incentive for <u>more consumer spending</u> |
| C                                     | decreased government spending<br><i><math>G \downarrow</math>, <math>AD \downarrow</math>, employment <math>\downarrow</math></i> | <i>NO</i> <u>more workers will be employed</u> , and more imports will be bought  |
| D                                     | reduction in income taxes<br><i><math>Tax \downarrow</math>, <math>C \uparrow</math>, <math>M(IE) \uparrow</math></i>             | <i>NO</i> increases consumer spending, with increased demand for exports          |

*A// Depreciation,  
 $X$  price  $\downarrow$ ,  $M$  price  $\uparrow$   
Trade tve  
 $AD \uparrow$   
employment  $\uparrow$*

24 The Laffer curve shows expected tax revenues at different tax rates.



An increase in the tax rate above 50% is expected to decrease tax revenue.

What is the reason for this?

- A decreased incentive for emigration *'E', people leaving, increased incentive*
- B decreased incentive for tax evasion *increased incentive*
- C increased incentive for people to work *decreased incentive, more they earn high income bracket, higher % of tax is charged, therefore a rise in tax evasion (B) and increased emigration (A).*
- ☒ D increased incentive for people to work fewer hours  
*So they don't fall in high tax brackets*

That's the target of means tested benefits, those who need them most receive support!

9

- 25 A government wishes to improve the income distribution between the richest and poorest in society. It introduces means tested benefits for workers on low incomes. To pay for this, income tax rates for the highest paid will increase.

What is the most significant strength and weakness of this policy approach?

|                                       | strength                                         | weakness                                                           |
|---------------------------------------|--------------------------------------------------|--------------------------------------------------------------------|
| <input checked="" type="checkbox"/> A | benefits are only given to those in need         | poor non-workers will be no better off                             |
| <input type="checkbox"/> B            | intergenerational equity is improved             | tax avoidance is more likely                                       |
| <input type="checkbox"/> C            | workers will be encouraged to work more hours    | taxation has become more regressive                                |
| <input type="checkbox"/> D            | the policy approach will be efficient to operate | wealth distribution will be affected more than income distribution |

Because it is paid to those on low income not to the ones unemployed.

(Possibility, due to high progressive tax)

(No highest paid tax ↑, represents progressive)

(Nothing related to wealth, read first line).

Equitable distribution of benefits among generation

- 26 The table shows data on the unemployment and inflation rates for four countries in 2010 and 2014.

| country                                           | unemployment rate<br>(% of workforce) |       | inflation rate<br>(% per annum) |       |
|---------------------------------------------------|---------------------------------------|-------|---------------------------------|-------|
|                                                   | 2010                                  | 2014  | 2010                            | 2014  |
| <input checked="" type="checkbox"/> Australia     | 5.2                                   | 6.1 ↑ | 2.7                             | 1.6 ↓ |
| <input checked="" type="checkbox"/> Canada        | 8.0                                   | 6.9 ↓ | 2.2                             | 1.9 ↓ |
| <input checked="" type="checkbox"/> Japan         | 5.1                                   | 3.6 ↓ | -0.3                            | 2.5 ↑ |
| <input checked="" type="checkbox"/> United States | 9.6                                   | 6.2 ↓ | 1.7                             | 0.6 ↓ |

Which countries had a typical Phillips curve?

(Negative relation between inflation rate and unemployment rate)

- ☒ A Australia and Japan  
☐ B Australia only  
☐ C Japan only  
☐ D Canada and the United States

- 27 Which adjustment is made to gross domestic product (GDP) to calculate a measure of economic welfare (MEW)?

|          | <sup>yes</sup><br>environmental costs and benefits | <sup>yes</sup><br>the value of leisure activity | <sup>yes</sup><br>the value of unpaid work |
|----------|----------------------------------------------------|-------------------------------------------------|--------------------------------------------|
| A        | no                                                 | no                                              | yes                                        |
| B        | yes                                                | no                                              | no                                         |
| C        | yes                                                | yes                                             | no                                         |
| <b>D</b> | yes                                                | yes                                             | yes                                        |

MEW = GDP + value of leisure + value of unpaid volunteer work - environmental damage - crime rate

Household chores, care giving, volunteering

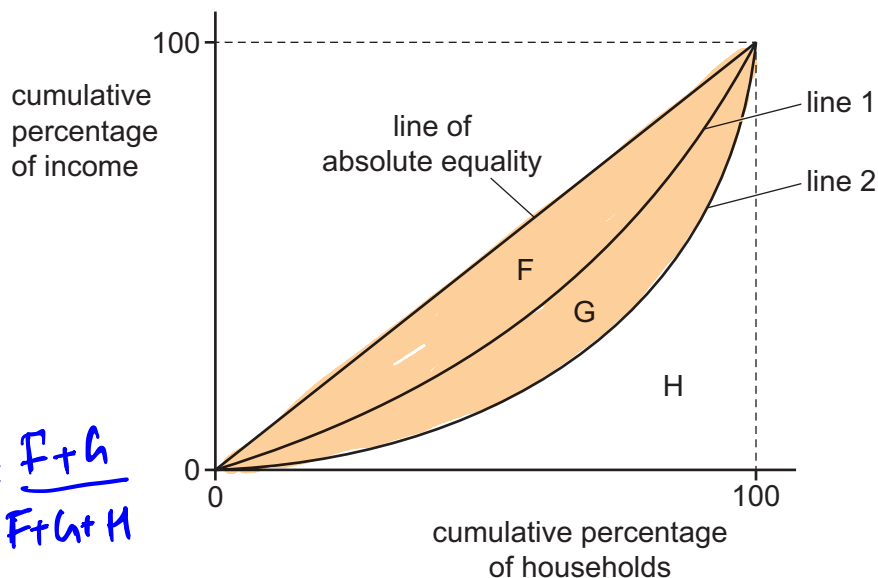
- 28 Purchasing power parity (PPP) allows a comparison of the purchasing power in two countries.

What is a definition of PPP?

- A the amount of the domestic currency needed to purchase a unit of foreign currency *It's exchange rate*  
 B the quantity of a currency required to purchase the same basket of goods in both countries  
 C the quantity of goods and services that can be purchased by a person on an average income *No!*  
 D the value of expenditure by households on goods and services in a country *No!*

*It explains purchasing power, not PPP*

- 29 A Lorenz curve measures the income distribution in a country. The further the Lorenz curve is from the line of absolute equality, the greater the level of inequality.



Remember:  $\frac{A}{A+B} = \frac{F+G}{F+G+H}$

What is the value of the Gini coefficient when the Lorenz curve is at line 2?

- A  $\frac{F+G}{H}$     **B**  $\frac{F+G}{F+G+H}$     C  $\frac{G}{G+H}$     D  $\frac{H}{F+G+H}$

*If area F didn't exist*

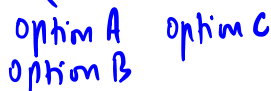
- For a country that has a GDP per capita of \$8000, what is most likely?

**A** A reduction in GDP per capita will have no effect on income inequality. *Reduce*

Reduce

Increase

Correct



| Question | Answer | Marks |
|----------|--------|-------|
| 1        | C      | 1     |
| 2        | B      | 1     |
| 3        | D      | 1     |
| 4        | D      | 1     |
| 5        | C      | 1     |
| 6        | A      | 1     |
| 7        | A      | 1     |
| 8        | B      | 1     |
| 9        | D      | 1     |
| 10       | B      | 1     |
| 11       | C      | 1     |
| 12       | A      | 1     |
| 13       | D      | 1     |
| 14       | D      | 1     |
| 15       | A      | 1     |
| 16       | D      | 1     |
| 17       | D      | 1     |
| 18       | A      | 1     |
| 19       | D      | 1     |
| 20       | B      | 1     |
| 21       | B      | 1     |
| 22       | C      | 1     |
| 23       | A      | 1     |
| 24       | D      | 1     |
| 25       | A      | 1     |
| 26       | A      | 1     |
| 27       | D      | 1     |
| 28       | B      | 1     |

| Question | Answer | Marks |
|----------|--------|-------|
| 29       | B      | 1     |
| 30       | D      | 1     |